



ECOFIN

STUDY GUIDE

**Topic: Balancing the
European Union's Financial
Oversight with Member
States' Sovereignty.**



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1. INTRODUCTION

The European Union is a unique construction in which independent, sovereign states, most of which share a common currency and coordinate their economic policies, while national governments remain responsible for their own budgets, taxes and spending decisions. This dual structure creates a permanent tension: the EU needs strong financial oversight to protect the stability of the euro and the internal market, but member states are, at the same time, democratically elected governments that answer to their own citizens and parliaments, not to Brussels.

This tension has become especially visible in recent years. The 2010 sovereign debt crisis, the COVID-19 pandemic, and disputes over the rule of law in countries such as Hungary and Poland have all tested how far the EU can go in supervising, correcting, or even withholding funds from its member states. Finding the right balance between effective financial oversight and respect for national sovereignty is essential for the long-term stability and legitimacy of the Union. This report gives an overview of the key issues, relevant actors, and possible approaches to manage this balance.

2. DEFINITION OF KEY TERMS

Fiscal Sovereignty:

The right of a state to independently decide on its own taxes, spending and budget, without external interference.

Stability and Growth Pact (SGP):

The EU's main framework of rules meant to ensure sound public finances, based on reference values of 3% of GDP for the government deficit and 60% of GDP for public debt.

Excessive Deficit Procedure (EDP):

A corrective procedure under the SGP that the European Commission can open against a member state whose deficit or debt exceeds the agreed limits.

European Semester:

The EU's yearly cycle for coordinating economic and fiscal policy among member states, including country specific recommendations from the Commission.

Subsidiarity Principle:

A founding EU principle stating that decisions should be taken as closely as possible to the citizens, and that the EU should only act when member states cannot achieve an objective sufficiently on their own.

Banking Union / Single Supervisory Mechanism (SSM):

A system in which the European Central Bank directly supervises the largest banks in the euro area, in cooperation with national supervisors, to prevent future banking crises.

Rule of Law Conditionality Mechanism:

A legal safeguard that lets the EU freeze or suspend funding to a member state if democratic breaches such as judicial interference or unchecked corruption endanger how EU budget money is managed or spent.

Recovery and Resilience Facility (RRF):

The main funding instrument of NextGenerationEU, which provides grants and loans to member states, conditional on the implementation of agreed reforms and investments.

3. BACKGROUND INFORMATION

The tension between EU oversight and national sovereignty goes back to the founding of the Economic and Monetary Union. The 1992 Maastricht Treaty set out convergence criteria, including the 3% deficit and 60% debt limits, but enforcement remained weak, and several countries, including Germany and France, breached these limits in the early 2000s without facing real consequences.

The euro crisis as a turning point:

The 2010 Greek debt crisis exposed how a fiscal crisis in one member state could threaten the stability of the whole currency union. In response, the EU introduced a wave of new instruments: the European Semester for policy coordination, the so-called Six-Pack and Two-Pack reforms that strengthened enforcement, the Fiscal Compact of 2012 that required balanced budget rules to be written into national law, and the Banking Union, which gave the European Central Bank direct supervisory powers over the largest banks. These reforms significantly increased the EU's ability to monitor and, in principle, sanction member states, but they were also criticized in several countries as an intrusion into national budgetary sovereignty, particularly by governments that had to implement painful austerity measures.

Conditionality beyond fiscal policy:

The debate widened further with the introduction of NextGenerationEU and the Rule of Law Conditionality Regulation in 2020. For the first time, access to EU funds was tied not only to fiscal indicators, but also to respect for rule of law principles. When the Commission and Council suspended billions of euros in funding to Hungary in 2022, citing corruption and judicial independence concerns, the case illustrated how financial oversight can be used to pursue broader political goals, which some member states welcome as a defence of shared EU values, while others see it as unjustified interference in domestic affairs.

The 2024 reform and its unresolved questions:

In April 2024, a reformed economic governance framework entered into force, intended to give member states more "ownership" over their own fiscal plans while still requiring their debt to fall over time. Early experience, however, has raised doubts about whether the new rules will really be enforced—especially since the EU has, since 2025, activated the national escape clause for 18 member states, allowing temporary additional fiscal flexibility for defence spending. The fundamental question, how much control over national budgets member states are willing to give up in exchange for the stability that shared oversight provides, therefore remains unresolved.

4. MAJOR COUNTRIES AND ORGANIZATIONS INVOLVED

European Commission: The Commission monitors member states' budgets, can open Excessive Deficit Procedures, and proposes measures under the rule of law conditionality mechanism, making it the main enforcer of EU financial oversight.

European Central Bank (ECB): Beyond setting monetary policy, the ECB directly supervises the largest banks in the euro area through the Single Supervisory Mechanism, giving it a central role in financial oversight.

Germany: Germany has traditionally been among the strongest advocates of strict fiscal rules and discipline, reflecting domestic concerns about inflation and the misuse of shared financial risk.

France and Italy: As countries with comparatively high public debt, France and Italy have generally pushed for more flexible fiscal rules and greater room for investment, and both are currently under an Excessive Deficit Procedure.

Hungary and Poland: Both countries have been at the centre of disputes over the rule of law conditionality mechanism, arguing that linking EU funding to judicial and political reforms goes beyond the EU's economic mandate.

Eurogroup: The informal group of euro area finance ministers coordinates economic policy among eurozone members and plays a key role in discussions on deeper fiscal integration.

Court of Justice of the European Union (CJEU): The CJEU rules on disputes between the EU and member states over financial oversight instruments, and has confirmed the legality of the rule of law conditionality mechanism.

5. TIMELINE OF EVENTS

1992	Maastricht Treaty sets the 3% deficit and 60% debt-to-GDP convergence criteria
1997	Stability and Growth Pact (SGP) is adopted to enforce fiscal discipline in the euro area
2010	Greek debt crisis begins; the European Semester is introduced for policy coordination
2012	Treaty on Stability, Coordination and Governance (Fiscal Compact) is signed
Nov 2014	Single Supervisory Mechanism becomes fully operational, creating the Banking Union
2020	COVID-19 general escape clause suspends normal SGP deficit rules
Dec 2020	Rule of Law Conditionality Regulation (2020/2092) is adopted
Dec 2022	Council suspends EUR 6.3 billion in funds to Hungary under the conditionality mechanism
30 Apr 2024	Reformed EU economic governance framework enters into force
Apr 2026	Change of government in Hungary re-opens talks on releasing frozen EU funds

6. RELEVANT EU TREATIES AND LEGISLATION

Treaty of Maastricht (1992): Established the Economic and Monetary Union and set the original 3%/60% convergence criteria that still form the legal basis of EU fiscal surveillance today.

Regulations (EC) 1466/97 and 1467/97: Together they form the original Stability and Growth Pact, covering respectively the preventive arm (monitoring budgets before problems occur) and the corrective arm (the Excessive Deficit Procedure).

Treaty on Stability, Coordination and Governance (Fiscal Compact, 2012): Required euro area states to enshrine balanced-budget rules in national law, one of the strongest examples of EU-level rules directly shaping domestic legislation.

Regulation (EU, Euratom) 2020/2092: The Rule of Law Conditionality Regulation, which allows the suspension of EU funds when breaches of the rule of law put the Union budget at risk; its legality was confirmed by the CJEU in 2022.

New Economic Governance Framework (2024): A package of regulations reforming the SGP's preventive and corrective arms, introducing country-specific medium-term fiscal-structural plans in force, since 30 April 2024.

7. PREVIOUS ATTEMPTS TO SOLVE THE ISSUE

Six-Pack and Two-Pack Reforms (2011–2013): These reforms strengthened the Commission's enforcement powers, including a system of reverse qualified majority voting that made it harder for member states to block sanctions. Critics argued the rules became overly complex and technocratic, reducing democratic ownership at the national level.

The Fiscal Compact (2012): By requiring balanced-budget rules directly in national law, this treaty imposed one of the most far-reaching constraints yet on national budget-making, and was criticized by some as excessive intrusion into fiscal sovereignty during a period of already painful austerity.

Banking Union (2014): Centralizing bank supervision under the ECB improved consistency and reduced national favouritism, but member states have so far refused to agree on a common European deposit insurance scheme, meaning financial risk is still not fully shared.

Rule of Law Conditionality in practice: The freezing of billions of euros in funds to Hungary showed that conditionality can be an effective source of pressure, but the process has also been slow, legally contested, and has strained trust between the Commission and the governments concerned.

8. POSSIBLE SOLUTIONS

- **Deepen Risk-Based, Country-Specific Surveillance:** Building further on the 2024 reform's idea of tailoring fiscal paths to each country's situation, while closing loopholes while establishing limits for reg use of national escape clauses.
- **Common Fiscal Capacity:** Introducing limited joint EU borrowing instruments for shared priorities, which could reduce individual states' exposure to market pressure in exchange for stronger joint oversight of how the money is spent.
- **Separate Financial and Political Conditionality:** Keeping purely fiscal conditionality (deficits, debt) and rule-of-law conditionality in clearly separate legal instruments, so that disputes over one do not undermine trust in the other.
- **Strengthen National Ownership:** Giving national parliaments and independent fiscal councils a stronger formal role in reviewing and endorsing medium-term fiscal plans before they are sent to Brussels.
- **Complete the Banking Union:** Finally agreeing on a European deposit insurance scheme, so that financial risk in the banking sector is genuinely shared rather than falling back on national governments in a crisis.

9. QUESTIONS DELEGATES SHOULD CONSIDER DURING RESEARCH

- Does your country typically run high or low budget deficits, and how does this shape its position on EU fiscal oversight?
- How does your country balance national parliamentary control over the budget with EU-level fiscal rules?
- Should the EU be allowed to link financial oversight to non-financial objectives such as the rule of law, or should these be kept separate?
- Would your country support deeper fiscal integration, such as common EU debt instruments, even if this means transferring more oversight power to Brussels?
- How has your country's experience with EU recovery funds shaped its views on conditionality?

10. USEFUL LINKS AND SOURCES

Council of the EU – Economic Governance Framework: An official overview of the EU's fiscal surveillance rules, including the 2024 reform, and a good starting point for understanding how the Stability and Growth Pact works today

<https://www.consilium.europa.eu/en/policies/economic-governance-framework/>

European Commission – The New Economic Governance Framework: Explains the objectives and main features of the 2024 reform, including the new medium-term fiscal-structural plans that are central to the current system.

https://economy-finance.ec.europa.eu/economic-governance-framework/what-economicgovernance-framework/evolution-eu-economic-governance/new-economic-governanceframework_en

European Commission – Rule of Law Conditionality Regulation: The Commission's official page on the conditionality mechanism, including its use against Hungary and the legal basis for suspending EU funds.

https://commission.europa.eu/strategy-and-policy/eu-budget/protection-eu-budget/rule-lawconditionality-regulation_en

Council of the EU – Banking Union: An overview of the Banking Union's pillars, including the Single Supervisory Mechanism, and the unfinished debate on a common European deposit insurance scheme

<https://www.consilium.europa.eu/en/policies/banking-union/>

CEPS – Smarter Rule of Law Conditionality: A recent analysis discussing how the EU could redesign its conditionality tools to be more effective and fairer, following the 2026 change of government in Hungary.

<https://www.ceps.eu/orbans-defeat-opens-the-door-to-eu-funds-and-to-smarter-rule-of-lawconditionality/>

11. COUNTRIES POSITIONS

Bulgaria: Bulgaria adopted the euro on 1 January 2026, becoming the 21st member of the eurozone after years of preparation and pegging the lev to the euro under a currency board. This makes Bulgaria one of the newest and most vulnerable members of the currency union, and the government is eager to demonstrate that it can be trusted to follow the rules. As a result, Bulgaria generally supports strong EU fiscal oversight, seeing it as a way to protect the credibility and stability it worked hard to earn. At the same time, public opinion at home has been divided, with many Bulgarians worried about inflation following the currency changeover, which makes the government cautious about appearing to lose further control over economic policy to Brussels. Bulgaria is unlikely to challenge the Commission's authority directly, but it may push for a gradual, well-supported implementation of any new oversight rules so that its own economy has time to adjust. Overall, Bulgaria positions itself as a loyal, rule-following member that wants to be treated as an equal partner rather than a junior one.

Czech Republic: The Czech Republic remains outside the eurozone by choice, having so far declined to fix a target date for adopting the euro despite meeting several convergence criteria in the past. This gives the country more room to run its own monetary and fiscal policy, and Czech governments have traditionally valued this independence highly. The Czech Republic supports the general principle of fiscal discipline within the EU, since it does not want the shared currency it trades heavily with to become unstable, but it firmly opposes efforts to extend eurozone-style oversight mechanisms to non-euro states like itself. Domestically, Euroscepticism remains a notable political current, and any perceived expansion of EU control over national budgets is likely to face resistance in parliament.

The Czech Republic is therefore likely to support oversight tools that apply narrowly to euro area members while resisting any one-size-fits-all framework covering all 27 member states. It tends to favour intergovernmental cooperation and unanimity over stronger centralized powers for the Commission.

Denmark: Denmark negotiated a formal opt-out from the euro under the 1992 Edinburgh Agreement and has shown no intention of joining the currency union since then. This gives Denmark a unique position: it is a wealthy, fiscally conservative member state that is nonetheless legally exempt from some of the oversight mechanisms discussed in this report. Danish governments have consistently prioritized national sovereignty over fiscal and monetary matters, reflecting a broader domestic skepticism toward further EU integration that dates back decades. Denmark generally supports strict fiscal discipline for euro area members, since it benefits from a stable eurozone as a major trading partner, but it resists any suggestion that similar rules should someday apply to non-euro states. On rule-of-law conditionality, however, Denmark tends to be quite supportive, viewing it as an important defence of the EU's founding values rather than an infringement on sovereignty. Denmark is likely to act as a cautious, values-driven voice in this debate rather than one focused on its own economic exposure.

European Anti-Fraud Office (OLAF): OLAF is the EU body responsible for investigating fraud, corruption and other irregularities affecting the EU budget, and it is less concerned with the sovereignty debate than with closing enforcement gaps. From OLAF's perspective, financial oversight mechanisms are only as effective as the investigative and reporting tools that back them up, and it has repeatedly called for stronger cooperation from national authorities in providing information and support. OLAF supports enhanced transparency requirements for how member states use EU funds, since inconsistent reporting standards make it harder to detect misuse before it becomes a political dispute. It has generally welcomed digital tools, such as the Arachne risk-scoring system used in Poland's case, which help identify irregularities before funds are even disbursed. OLAF's institutional interest generally lies in strengthening its own investigative mandate and independence from political pressure, rather than in resolving the broader sovereignty question directly. As a technical body, it tends to advocate for solutions that improve data-sharing and audit trails across all member states equally.

European Commission: As the main enforcer of the Stability and Growth Pact, the European Semester, and the rule of law conditionality mechanism, the Commission is the central institutional actor in this debate. It argues that firm, consistent oversight is essential to protect the shared currency, the integrity of the single market, and the EU budget from misuse or unsustainable borrowing by individual states. The Commission has generally supported the trend toward more country-specific, risk-based surveillance introduced in the 2024 reform, viewing it as a way to combine effectiveness with legitimacy. At the same time, it has shown willingness to use financial conditionality for broader political goals, as seen in its dealings with Hungary and Poland over judicial independence. The Commission tends to favour deeper integration over time, including ideas like a stronger common fiscal capacity, since this would reduce reliance on ad hoc negotiations during crises. It sees itself as a guardian of shared EU values and financial stability rather than as an outside authority imposing rules on unwilling states.

European Court of Auditors: As the EU's independent external auditor, the European Court of Auditors focuses on whether EU and national authorities manage funds soundly, rather than on political questions of sovereignty. It has repeatedly highlighted gaps between the ambitious goals of instruments like the Recovery and Resilience Facility and the practical difficulty of verifying that funds were spent as intended. The Court tends to call for clearer, simpler, and more consistently enforced rules rather than new layers of political conditionality, arguing that additional complexity can actually make oversight less effective. It has also flagged concerns about the transparency of decisions to freeze or unfreeze funds, suggesting that political considerations sometimes outweigh purely financial criteria. The Court's position is generally technical and cautious, emphasizing accountability, audit trails and measurable outcomes over broader debates about how much sovereignty member states should retain. It plays a supporting, advisory role rather than an enforcement one, but its reports often shape political discussions in the Council and Parliament.

France: France carries a relatively high level of public debt and is currently subject to an Excessive Deficit Procedure under the reformed Stability and Growth Pact. As a result, French governments have consistently pushed for more flexible fiscal rules that allow room for public investment, particularly in green and digital transitions, rather than rigid numerical targets. France has also been one of the strongest advocates for deeper EU-level fiscal solidarity, including common EU debt instruments similar to those used for NextGenerationEU.

At the same time, France values its own political influence within the EU and is unlikely to support oversight mechanisms that would significantly reduce the discretion of national governments over domestic policy choices. France generally supports the use of conditionality to defend shared EU values, such as the rule of law, viewing this as consistent with deeper European integration rather than a threat to it. Overall, France seeks a middle path: stronger EU-level solidarity and shared risk, combined with continued flexibility for national fiscal choices.

Germany: Germany has traditionally been the strongest voice for strict fiscal discipline within the EU, reflecting long-standing domestic concerns about inflation and the misuse of shared financial resources. German governments were key architects of the original Stability and Growth Pact and have consistently resisted proposals for large-scale common EU debt or permanent fiscal transfers between member states. Germany supported the 2024 reform's goal of ensuring debt sustainability, but pushed successfully for safeguards that guarantee a minimum pace of debt reduction, showing its continued preference for firm, rules-based enforcement. On rule of law conditionality, Germany has generally supported using financial tools to defend EU values, though it has also faced domestic criticism for what some see as inconsistent enforcement against Hungary. Germany is cautious about further pooling of financial risk unless it is matched by strict conditions and credible enforcement mechanisms. As the EU's largest economy, Germany's support is often necessary for any major reform to succeed, giving it significant influence over the pace and direction of this debate.

Greece: Greece's experience during the 2010 sovereign debt crisis, which led to years of harsh austerity measures under EU and IMF-backed bailout programmes, continues to shape its position on financial oversight. Greek governments remain sensitive to the social costs of rigid fiscal rules and generally support EU solidarity mechanisms that provide support during downturns rather than purely punitive measures. At the same time, Greece has worked hard to demonstrate its own fiscal responsibility since exiting its bailout programmes, and does not want to be associated with fiscal irresponsibility in EU debates. Greece therefore tends to support the 2024 reform's more flexible, country-specific approach, since it allows more room to reflect the country's particular historical circumstances. On conditionality tied to non-fiscal issues, Greece is generally supportive of using EU tools to defend democratic values. Overall, Greece favours a balance between firm oversight and genuine solidarity, informed strongly by its own recent history.

Hungary: Hungary has been at the centre of the most significant disputes over the rule of law conditionality mechanism, with billions of euros in cohesion and recovery funds suspended since 2022 over concerns about corruption, public procurement and judicial independence. The Hungarian government challenged the legality of the mechanism before the Court of Justice of the EU, arguing that it represents political interference beyond the EU's economic mandate, though the Court upheld the regulation in 2022. Hungary has consistently argued that financial oversight should be limited to fiscal and economic indicators, and that linking funding to domestic judicial or political reforms undermines national sovereignty. A change of government following the 2026 Hungarian elections has reopened discussions about releasing the remaining frozen funds, suggesting a possible shift toward more cooperative engagement with Brussels. Even so, Hungary is likely to remain a vocal defender of the principle that financial oversight should not become a tool for shaping domestic politics. Its position will likely continue to test the boundaries between legitimate EU oversight and perceived overreach.

Italy: Italy has one of the highest public debt levels in the EU and is currently subject to an Excessive Deficit Procedure, making fiscal flexibility a top priority for Italian governments. Italy has consistently pushed for country-specific, risk-based approaches to fiscal surveillance, welcoming the 2024 reform's move away from rigid, uniform targets toward individually negotiated medium-term plans. At the same time, Italy has raised concerns that the new framework's enforcement may still prove too rigid in practice, particularly given its need for continued investment in infrastructure and economic modernization. Italy generally supports common EU funding mechanisms, such as the Recovery and Resilience Facility, from which it has been one of the largest beneficiaries, and would likely welcome further common debt instruments in the future. On the question of political conditionality, Italy's position has varied depending on the governing coalition, reflecting broader debates within the country about EU integration. Overall, Italy seeks meaningful flexibility within the fiscal rules while still benefiting from shared EU financial solidarity.

Netherlands: The Netherlands has long been one of the leading members of the so-called "frugal" group of member states that favour strict fiscal discipline and are skeptical of shared financial risk. Dutch governments have consistently opposed proposals for permanent common EU debt instruments, arguing that member states should remain primarily responsible for managing their own public finances.

The Netherlands supported the 2024 reform's emphasis on debt sustainability safeguards, viewing these as necessary to prevent the new, more flexible system from becoming too lenient in practice. It generally favours strong, consistent enforcement of fiscal rules, including a willingness to use sanctions against member states that persistently breach agreed limits. On rule of law conditionality, the Netherlands has been a strong supporter of firm enforcement, viewing it as essential to protecting the EU's fundamental values. Overall, the Netherlands positions itself as a disciplined, rules-oriented voice that prioritizes accountability over solidarity in most EU financial debates.

Poland: Poland's position has shifted significantly since Prime Minister Donald Tusk's pro-EU coalition took office in December 2023, replacing a government that had clashed with Brussels over judicial reforms for nearly a decade. Following the presentation of an action plan on judicial independence, the European Commission unblocked up to €137 billion in previously frozen recovery and cohesion funds in early 2024, marking a major improvement in relations. Poland under Tusk generally supports the rule of law conditionality framework as a legitimate defence of shared EU values, in contrast to its predecessor's position. However, domestic political tension, including friction with a president aligned with the previous ruling party, creates some uncertainty about how consistently reforms can be implemented going forward. Poland, which remains outside the eurozone, also values a degree of independence over its own fiscal policy and is likely to resist any oversight mechanisms that go beyond what is already agreed for non-euro states. Overall, Poland currently presents itself as a cooperative partner seeking to rebuild trust with EU institutions while still watching its own political stability closely.

Portugal: Portugal underwent a difficult financial assistance programme following the euro crisis, which involved strict conditions on public spending and structural reforms in exchange for EU and IMF support. This experience continues to shape Portugal's cautious approach to rigid fiscal rules, and Portuguese governments generally favour EU solidarity instruments that offer support during economic difficulties rather than purely corrective measures. Having successfully reduced its debt levels in recent years, Portugal is keen to demonstrate that a flexible, supportive approach to oversight can still produce responsible fiscal outcomes. Portugal generally supports the 2024 reform's move toward country-specific fiscal paths, seeing it as a fairer way to account for each country's particular economic history. On broader conditionality tied to EU values, Portugal tends to align with the Commission's approach, viewing it as consistent with deeper European solidarity. Overall, Portugal advocates for a balance between fiscal responsibility and continued EU support for weaker economies.

Romania: Romania is not yet part of the eurozone and is currently subject to an Excessive Deficit Procedure due to a persistently high budget deficit, which limits its influence in debates primarily focused on euro area governance. Romanian governments generally support the broader project of EU integration and have expressed long-term interest in eventually adopting the euro, though no firm target date has been set. At the same time, Romania seeks flexibility in how quickly it must reduce its deficit, given the scale of public investment needed to converge economically with wealthier EU members. Romania has been a significant beneficiary of EU cohesion and recovery funds, and generally supports mechanisms that channel financial support toward less developed member states. On rule of law conditionality, Romania has largely avoided the intense disputes seen in Hungary and Poland, positioning itself as a cooperative, if still developing, member state. Overall, Romania favours a gradual, supportive approach to EU oversight that accommodates its ongoing convergence process.

Slovakia: As a smaller eurozone economy, Slovakia generally supports fiscal discipline as a way to maintain the stability of the currency union it depends on for trade and investment. At the same time, Slovak governments have shown a strong attachment to national control over domestic political and social policy, occasionally leading to friction with EU institutions on issues beyond pure fiscal matters. Slovakia's position on financial oversight tends to shift depending on the governing coalition, with some governments favouring closer alignment with the Commission and others emphasizing sovereignty more strongly. Slovakia has benefited significantly from EU cohesion and recovery funding, giving it a practical interest in maintaining good standing with EU institutions. It generally supports the more flexible, country-specific approach introduced in the 2024 reform, since this allows it to tailor commitments to its own economic circumstances. Overall, Slovakia tends to balance pragmatic cooperation on fiscal matters with a more cautious stance on any oversight that touches domestic political questions.

Spain: Spain has pursued a strongly pro-European integration policy in recent years and generally aligns closely with the European Commission's approach to financial oversight. Having reduced its deficit considerably since the peak of the euro crisis, Spain is keen to present itself as a responsible, cooperative member state that supports both fiscal discipline and EU solidarity. Spain has been a vocal supporter of common EU funding instruments, including the Recovery and Resilience Facility, from which it has received substantial support for green and digital investments.

On rule of law conditionality, Spain has consistently backed the Commission's use of financial tools to defend shared EU values, viewing this as an important safeguard for the Union's democratic foundations. Spain also supports further fiscal integration over time, including ideas for a stronger common EU fiscal capacity, seeing this as a natural extension of monetary union. Overall, Spain positions itself as one of the more integrationist voices in this debate, favouring both oversight and solidarity working together.

Sweden: Sweden remains outside the eurozone, having rejected euro adoption in a 2003 referendum, and Swedish governments have consistently prioritized national control over fiscal and monetary policy since then. Despite this, Sweden is fiscally conservative by tradition and generally supports strict discipline for eurozone members, since a stable euro benefits Sweden's heavily trade-dependent economy. Sweden places a particularly high value on the rule of law and democratic governance, and has generally supported using EU conditionality mechanisms to defend these principles, even in cases involving politically sensitive disputes with other member states. At the same time, Sweden is cautious about any suggestion that deeper fiscal integration or oversight might eventually be extended to non-euro states like itself. Domestically, Swedish public opinion remains largely opposed to further transfers of sovereignty to Brussels, particularly on fiscal matters. Overall, Sweden combines firm support for EU values-based conditionality with a strong defence of its own fiscal and monetary independence.